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ONL_ERP7_G1

Accounts Receivables Setup Dynamics F&O

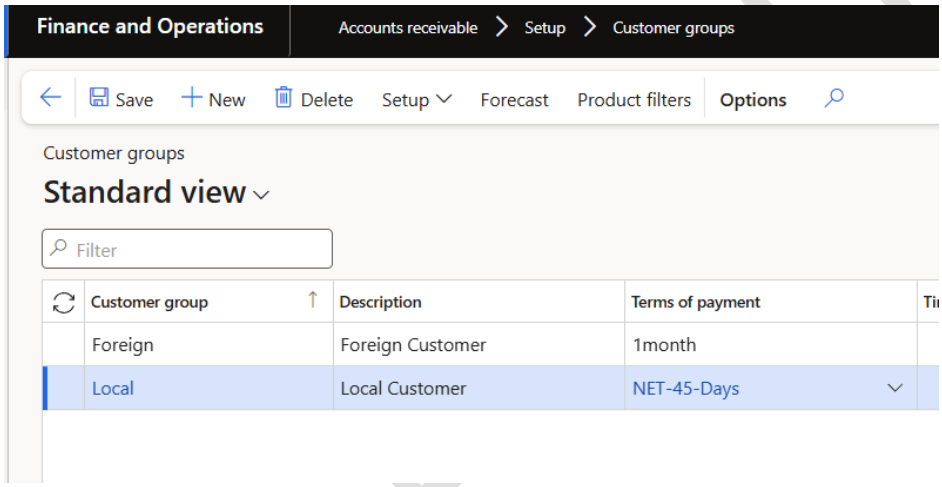
1. Customer Group

The first step in Accounts Receivable setup is creating **Customer Groups**, which allow you to classify customers for reporting purposes and link them to the **AR G/L account** through posting profiles. These groups host default settings—such as terms of payment and tax groups—which automatically populate on the individual customer cards.

Navigation Path: Accounts Receivable > Setup > Customer Group

Configuration Steps:

1. Click the New button.
2. Enter a unique Customer Group Code and a clear Description.
3. Update Default Data (Payment Terms, Tax Groups, etc.) as required



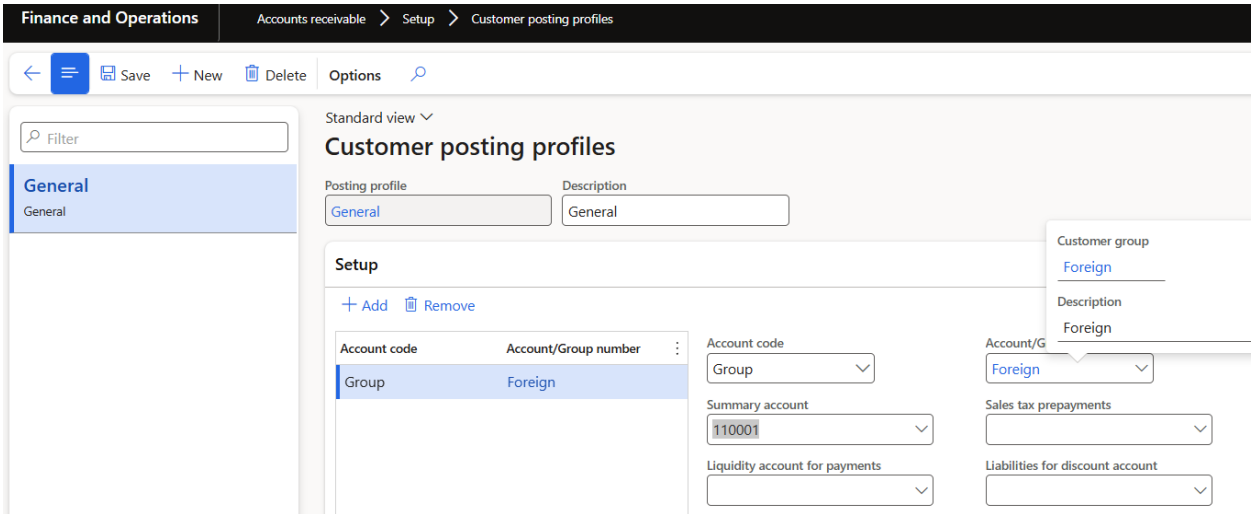
2. Posting Profile

The Customer Posting Profile is the essential setup used to link the Customer Group to the Accounts Receivable G/L account, ensuring that all customer-related transactions are automatically directed to the correct ledger.

Navigation Path: Accounts Receivable > Setup > Customer Posting Profile

Configuration Steps

1. Click the New button to create a new profile.
2. Enter a unique Posting Profile Code and a descriptive Name.
3. Navigate to the Setup Fast Tab and click Add.
4. Under Account Code, select Group (to apply this to a specific category of customers).
5. Under Account/Group Number, select the relevant Customer Group.
6. Ledger Assignment: Under Summary Account, choose the specific G/L account that will serve as the control account for this group.



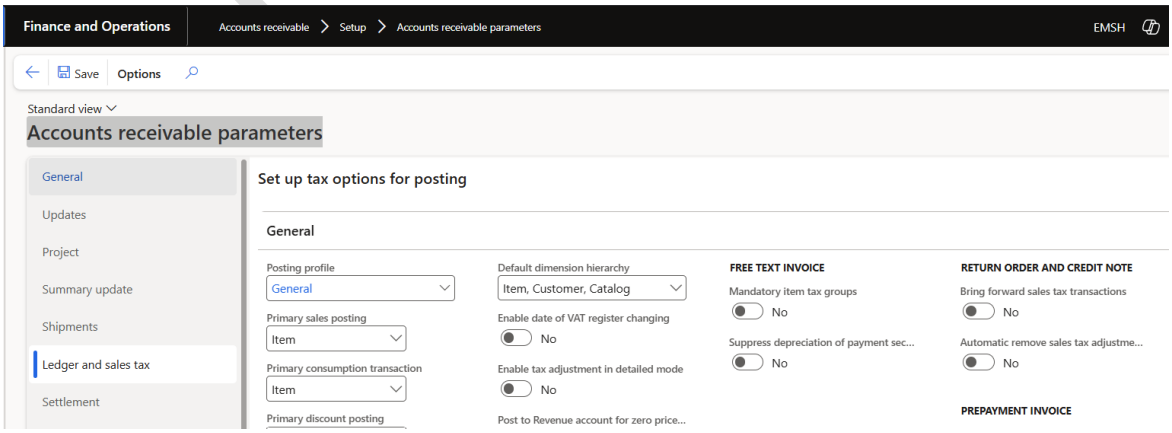
3. Accounts Receivable Parameters

To enable the registration and posting of Accounts Receivable (AR) transactions, the **Accounts Receivable Parameters** must be configured to include the default customer posting profile.

Navigation Path: Accounts Receivable > Setup > Accounts Receivable Parameters

Configuration Steps

1. Open the Ledger and sales tax tab.
2. Under the General section, locate the Posting profile field and select the required profile from the dropdown menu.
3. Ensure the settings are saved to allow the system to automatically apply this profile to new transactions.



4. Payment Schedules

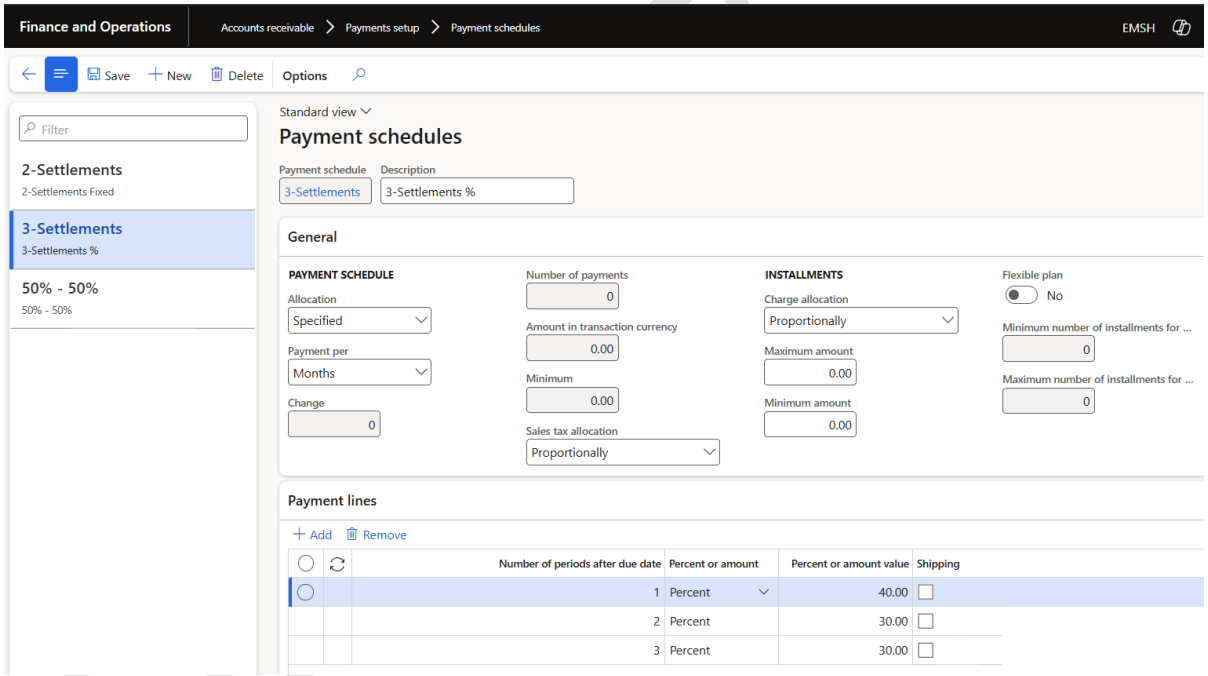
In Dynamics 365 F&O **Payment Schedules** are used to manage complex payment terms that require an invoice to be split into multiple installments. Instead of expecting a single total payment, a Payment

Schedule allows you to predefine how an invoice amount is distributed over time whether in equal parts, specific percentages, or fixed amounts based on a defined set of dates (e.g., monthly or quarterly). This is particularly useful for high-value contracts or service agreements where the cash flow is spread across several months.

Navigation Path: Accounts Receivable > Payment Setup > Payment Schedule

Configuration Steps

1. Click the New button.
2. Enter a unique Payment Schedule Code (e.g., 3-Settlements) and a clear Description.
3. On the General tab, select the Allocation Method (e.g., Total amount, Fixed amount, or Specific).
4. Update the Payment per period to define the timing (e.g., 1 month).
5. Quantity vs. Amount: If the method is Fixed quantity, enter the total Number of payments. If the method is Fixed amount, enter the specific Amount in transaction currency.
6. If using the Specific allocation method, go to the Payment lines tab to manually add lines defining either the Percentage or the Amount for each installment.



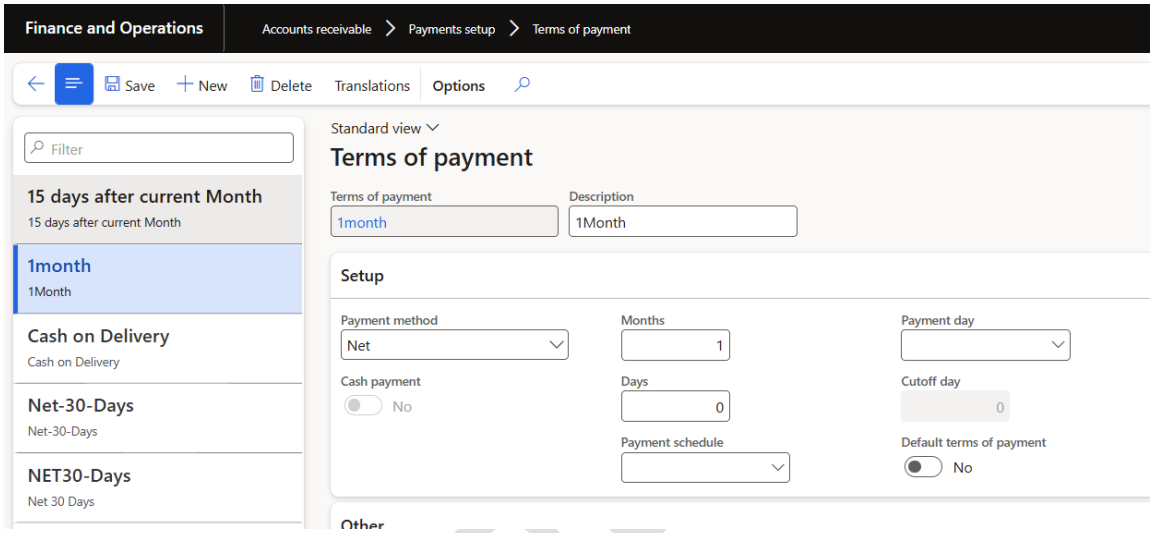
5. Terms Of Payments

Terms of Payment in Dynamics 365 F&O are the rules that tell the system when and how a customer should pay their invoice. This function acts as an automated calculation engine for your accounts receivable deadlines. Once a specific payment term (such as **Net 30**) is selected, the system references the invoice date to precisely determine and record the legal due date for the transaction.

Navigation Path: Accounts Receivable > Payment Setup > Terms of Payment

Configuration Steps

1. Click the New button.
2. Enter a unique Terms of Payment Code (e.g., 1 Month) and a clear Description.
3. On the Setup tab, select the payment method
4. Update the period fields as required (Months, days)
5. You can link the terms of payment with existing payment schedule

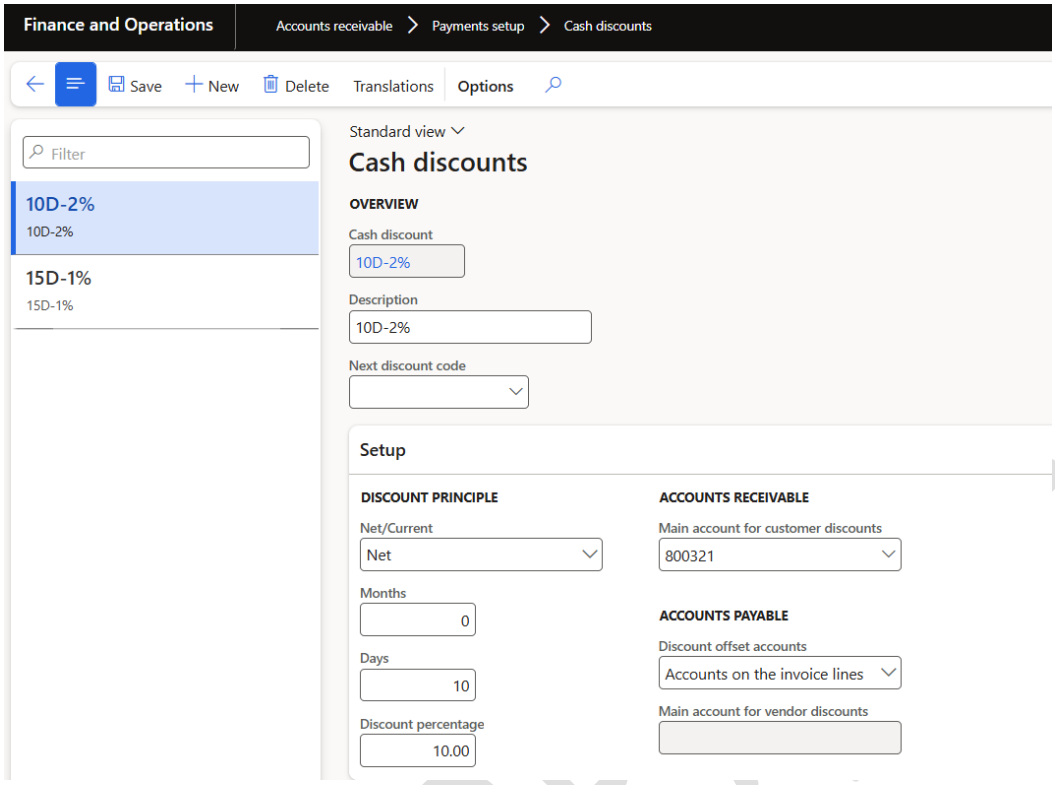


6. Cash Discounts

In Dynamics 365 F&O, **Cash Discounts** are incentives offered to customers to encourage early payment of their invoices. By defining specific discount percentages and grace periods, the system automatically calculates the reduced amount if the payment is received within the specified timeframe.

Navigation Path: Accounts Receivable > Payment Setup > Cash Discounts

1. Click the New button.
2. Enter a unique cash discount Code (e.g., 10D-2%) and a clear Description.
3. On the Setup tab, select the net/current option as required
4. Update the period details (Months & Days)
5. Enter the required discount percentage
6. Choose the Cash discount GL account

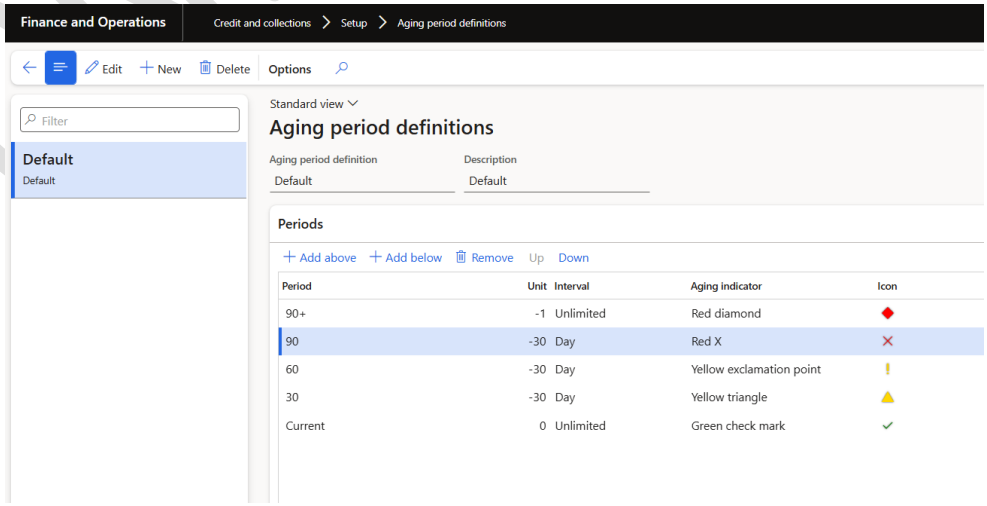


7. Aging period definitions

To monitor outstanding balances and generate the **Accounts Receivable Aging Report**, you must first configure the **Aging Period Definitions**. This setup defines the time buckets (e.g., 30, 60, or 90 days) used to categorize overdue invoices.

Navigation Path: Credit and Collection > Setup > Aging period definitions
Configuration Steps

1. Click the New button to create a profile.
2. Enter a unique Aging Period Definition Code and a clear Description.
3. The system will automatically insert a default definition. You can update as required.



8. Write Off

In Dynamics 365 F&O, the **Write-off** process is a financial adjustment used when a customer's outstanding balance is deemed uncollectible. This procedure ensures that your Accounts Receivable (AR) accurately reflects realistic expectations of cash inflow by clearing the "bad debt" from the customer's account.

Core Function

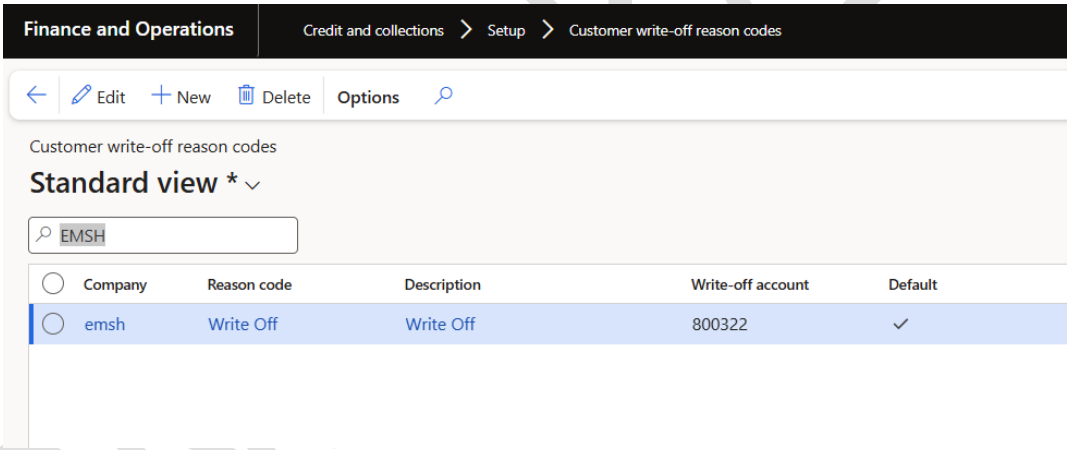
A write-off automates the creation of a journal entry that credits the **Customer Account** (reducing their balance) and debits a designated **Write-off Expense G/L account**. This effectively closes the open invoice without a cash payment.

8.1Customers write off reason code

Navigation Path: Credit and Collection > Setup > Customers write off reason code

Configuration Steps

1. Click the New button to create a write off reason code.
2. Select the company and reason code and write a clear Description then select the write off GL account.



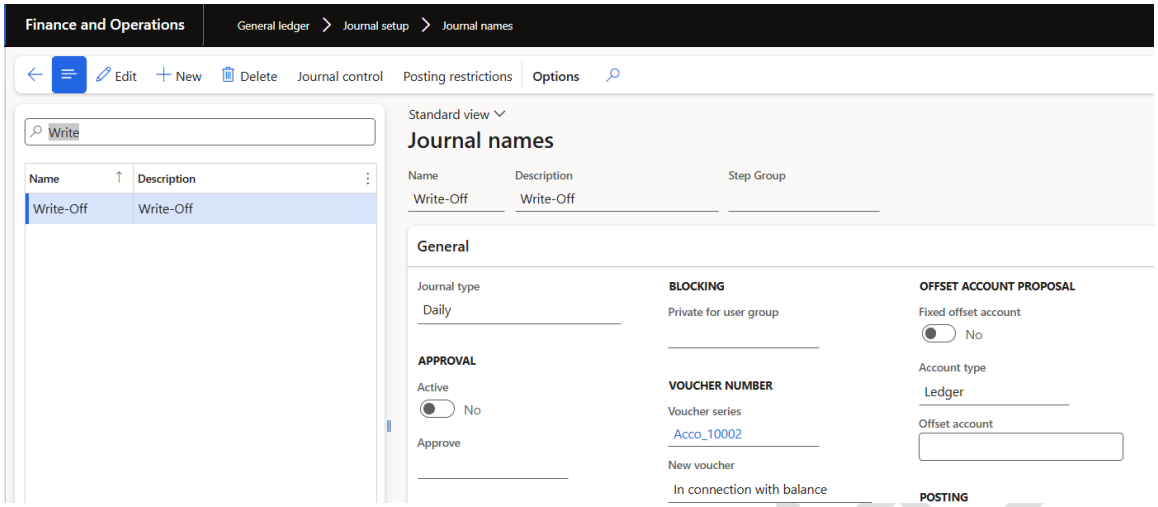
8.2 Write off journal name

Create new journal name for the write off entry that will be created automatically from the credit and collection module.

Navigation Path: General Ledger > Journal Setup > Journal Name

Configuration Steps

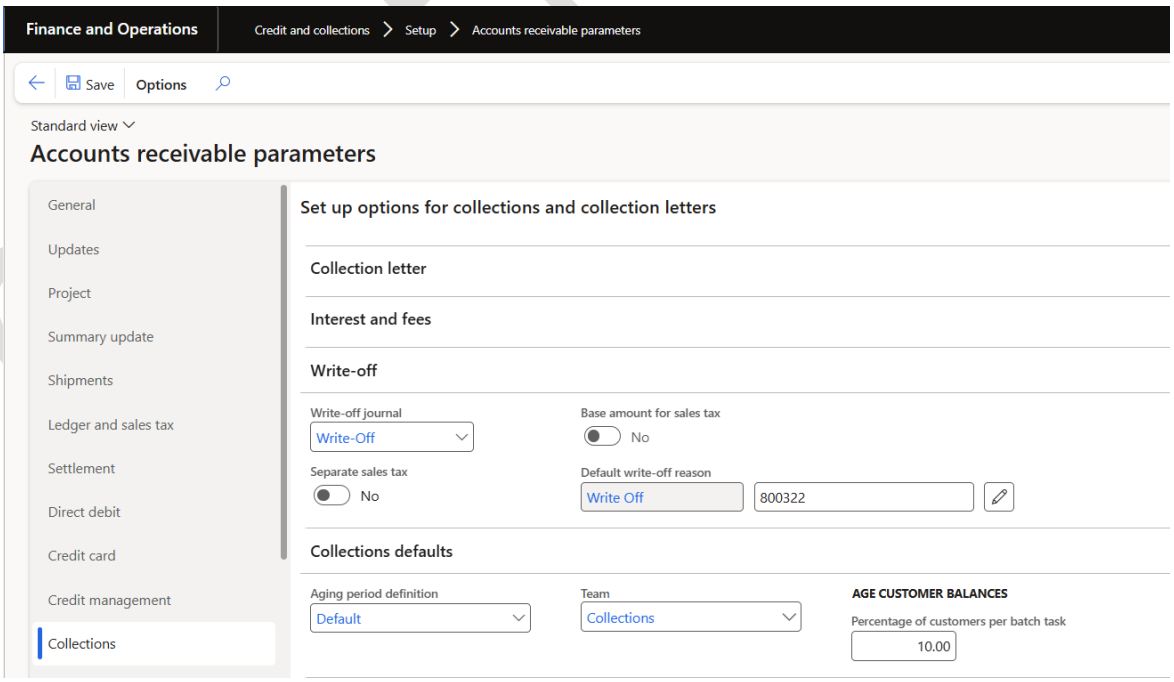
1. Click the New button to create a new journal name.
2. Enter a unique Journal Code and a clear Description
3. Select the journal type as Daily and update the Voucher series number



8.3 Accounts Receivable Parameters

To enable the registration and posting of write-off transactions, the **Accounts Receivable Parameters** must be updated with the write-off setup.

Navigation Path: Credit and Collection > Setup > Accounts Receivable Parameters

Configuration Steps

1. Open the Collections tap
2. Under the write off section, select the write off journal name, and default write off reason code
3. Under the collections default section, select the aging period definition.